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❖ What is Entrepreneurship ?

Entrepreneurship is the process of **starting, managing, and growing a new business** to earn profit by taking risks and using innovative ideas.

☞ In simple words:

Entrepreneurship = starting something new + taking risks + using ideas to make profit.

❖ Who is Entrepreneur ?

An **Entrepreneur** is a person who **starts a business, takes risks, manages it**, and **uses new ideas to make it successful**.

☞ Simple words:

Entrepreneur = business starter + risk taker + innovator.

Examples:

Ratan Tata
Dhirubhai Ambani
Narayana Murthy
Elon Musk

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✳ Characteristics of an Entrepreneur :(V.V.VIMP)

1. Risk-taking ability
Willing to take business risks to gain profit.

2. Innovative
Creates new ideas, products, or methods.

3. Leadership quality
Can guide, motivate, and manage people.

4. Confidence
Believes in his abilities and decisions.

5. Decision-making ability
Makes quick and correct decisions for business.

6. Hardworking
Puts extra effort and works with dedication.

7. Future vision
Thinks ahead and plans for long-term success.

8. Flexible and adaptable
Adjusts to changes in market or situation.

9. Good communication
Speaks clearly with employees, customers, investors.

10. Problem-solving ability
Finds solutions quickly when problems arise.

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✳ Entrepreneurship Development

Entrepreneurship Development is the **process of improving the skills, knowledge, and abilities of people** so that they can become **successful entrepreneurs**.

☞ **In simple words:**

Entrepreneurship Development = training + support + guidance to make a person a good entrepreneur.



❁ Purpose of Entrepreneurship Development

- ✓ To create more entrepreneurs
- ✓ To help people start their own business
- ✓ To develop entrepreneurial skills
- ✓ To reduce unemployment
- ✓ To promote innovation and

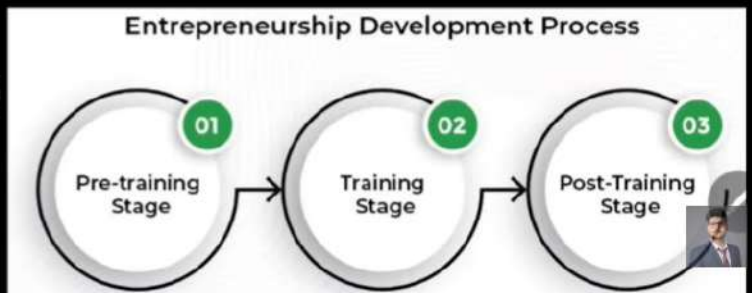
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Process of Entrepreneurship Development : (V.V.IMP)

1. **Identify potential entrepreneurs**
   (select people who are interested)
2. **Provide motivation and training**
   (skills, confidence, knowledge)
3. **Guide them to prepare business plan**
4. **Provide financial assistance**
   (loans, subsidies, grants)
5. **Start the business**
6. **Provide follow-up support**
   (help in marketing, technology, management)



❋ Entrepreneurs Are Made, Not Born – Comment

The statement means that **entrepreneurship is not something a person is born with**. Instead, it is a **skill that can be learned, developed, and improved** through training, experience, and environment.

☞ In simple words:

Anyone can become an entrepreneur with the right knowledge, skills, and motivation.

Explanation :

1Entrepreneurship is a skill

Like any other skill (coding, driving, cooking), entrepreneurship can be learned through:

- training
- education
- practice

2Successful entrepreneurs learn from experience

Most entrepreneurs improve by:

- making mistakes

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- learning from failures
- improving their decisions

3. Training programs develop entrepreneurs

- Government and private institutes offer:
- Entrepreneurship Development Programs (EDPs)
- Skill Development Programmes

These help ordinary people become entrepreneurs.

4. Environment shapes an entrepreneur

Family background, market opportunities, education, and society motivate people to start a business.

5. Examples prove it

Many famous entrepreneurs (like Dhirubhai Ambani, Narayana Murthy, Bill Gates) did not have special natural abilities.

They became great because of **hard work, learning, and determination**.

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❋ Entrepreneurship Can Be Considered the Creator of Economy – Comment

Entrepreneurship plays a **key role in building and developing the economy** of a country. Entrepreneurs create businesses, jobs, products, and innovations, which together help in the **growth of the economy**.

👉 In simple words:

Entrepreneurs create economic activity → economic growth → strong economy.

❋ Why Entrepreneurship is the Creator of Economy?

1Creates Employment

Entrepreneurs start new businesses which need workers.

More jobs → more income → strong economy.

2Promotes Innovation

Entrepreneurs create:

- new products
- new services
- new technologies



3Improves National Income

More industries → more production → more exports → higher GDP.
This strengthens the country's economy.

4. Encourages Industrial Development

Entrepreneurs start small, medium, and large industries.
This leads to:

- development of rural areas
- industrial diversification
- balanced regional growth

5. Optimal Use of Resources

Entrepreneurs use available:

- raw materials
- capital
- technology
- human resources

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6Creates Wealth

Businesses earn profit.

Part of this profit is:

- reinvested
- spent on goods
- paid as taxes

This increases national wealth.

7. Reduces Dependence on Government

When people start their own businesses, the economy grows without depending completely on government jobs.

8. Supports Other Industries

Entrepreneurs create demand for:

- raw materials
- machines
- transport



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❋ Small Scale Industries (SSI) (V.VIMP)

Small Scale Industries are **small business units** where:

✓ Investment is **small**

✓ Number of employees is **limited**

✓ Production is done on a **small level**

☞ In simple words:

SSI = small factories/businesses producing goods or services with limited machinery and workers.

Examples:

- Handloom units
- Bakery
- Furniture making
- Pickle making
- Small machine parts manufacturing

Characteristics of SSI

- ✓ Low investment
- ✓ Simple technology
- ✓ Uses local raw materials
- ✓ Provides local employment
- ✓ Flexible and easy to start
- ✓ Low cost of production
- ✓ Mostly owned by individuals or small groups

Types of Small Scale Industries

SSI can be classified into several types based on **function**, **nature of activity**, and **type of production**

1. Manufacturing Industries
2. Service Industries
3. Ancillary Industries
4. Cottage Industries

5. Export Oriented Units
6. Mining or Preservation based Industries

1Manufacturing Industries

These industries **produce goods** using raw materials and machinery.

Examples:

- ✓ Furniture making
- ✓ Food processing
- ✓ Soap and detergent production
- ✓ Bakery

☞ Purpose: **Convert raw materials → finished products**

2Service Industries

These industries provide **services** instead of goods.

Examples:

Repair shops
Beauty parlours
Tailoring
Mobile repair

☞ Purpose: **Provide service to customers**

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3Ancillary Industries

These industries **support large industries** by supplying components, spare parts, or tools.

Examples:

- ✓ Auto parts manufacturers
- ✓ Small machine part makers

👉 Purpose: **Help big companies by giving parts**

4Cottage Industries

These industries operate **at home or very small units**, usually with family members.

Examples:

- ✓ Handloom
- ✓ Handmade crafts
- ✓ Pickle and papad making
- ✓ Candle making

👉 Purpose: **Family-based small production**



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5Export-Oriented Units

These industries produce goods mainly for **export to other countries**.

Examples:

- ✓ Garment exporters
- ✓ Leather goods
- ✓ Handicrafts

👉 Purpose: **Earn foreign exchange**

6. Mining or Preservation-Based Industries

Small units working in **processing and storage**.

Examples:

- ✓ Cold storage
- ✓ Spices grinding
- ✓ Oil mills

👉 Purpose: **Processing and preserving raw materials**

❋ Growth of Small-Scale Industries in India :

Small-Scale Industries (SSI) have grown **rapidly** in India since independence.
They have become an important part of India's industrial and economic development.

☞ **In simple words:**

Small industries in India have increased in number, production, employment, and importance.

❋ Reasons for the Growth of SSI in India :(V.IMP)

1Availability of Raw Materials

India has plenty of local raw materials like:

- ✓ cotton
- ✓ jute
- ✓ leather
- ✓ wood
- ✓ spices

This helps small industries grow easily.

2 Low Investment Requirement

SSI need **small capital** and simple machines.

Even middle-class and rural people can start small businesses.

3 Government Support

Indian government provides:

- ✓ subsidies
- ✓ easy loans
- ✓ training programs
- ✓ tax benefits
- ✓ MSME schemes

These greatly encourage small industries.

4 Employment Opportunities

SSI create **large employment** for:

- ✓ rural people
- ✓ women
- ✓ unskilled workers

Because they need more **labour** and less **machines**.

5 Use of Local Skills

Traditional Indian skills and crafts help in growth:

- ✓ handloom
- ✓ handicrafts
- ✓ pottery
- ✓ weaving

These small industries preserve India's culture and provide jobs.



6 Growing Demand for Goods

Indian consumers prefer:

- ✓ low-cost products
- ✓ locally made goods

SSI supply these goods → demand increases → industry grows.

7 Export Opportunities

Many small industries export products like:

- ✓ garments
- ✓ spices
- ✓ handicrafts

Export demand has boosted SSI growth.

8 Rural Industrialization

Small units are easy to start in rural areas, so many SSI have developed:

- ✓ in villages
- ✓ small towns
- ✓ semi-urban areas

This reduces pressure on big cities.

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9Flexibility and Quick Decisions

SSI can easily change:

- ✓ product
- ✓ design
- ✓ process

This flexibility helps them survive competition.

❋ Results of SSI Growth in India

Because of these factors, SSIs have grown in terms of:

- ✓ Number of units increased
- ✓ Employment increased
- ✓ Production increased
- ✓ Exports increased
- ✓ Contribution to GDP increased

✳ Role of Small-Scale Industries in National Economy :

Small-Scale Industries (SSI) play a **very important role** in the economic development of India. They help in creating jobs, increasing production, and supporting rural growth.

👉 In simple words:

SSI help India grow by creating employment, increasing income, and supporting industrial development.

1Large Employment Generation

SSI use more labour and fewer machines.

They give jobs to:

rural people

women

unskilled and semi-skilled workers

📌 **SSI = biggest job creators after agriculture**



2. Increase in Production

SSI produce:

- ✓ consumer goods
- ✓ machine parts
- ✓ handicrafts
- ✓ food items

They help meet daily needs of the population.

3Contribution to GDP

SSI contribute significantly to:

- ✓ Industrial production
- ✓ National income
- ✓ GDP growth

They make India's economy stronger.

4Promotes Exports

SSI export:

- ✓ garments
- ✓ leather goods
- ✓ handicrafts
- ✓ spices

This helps India earn **foreign exchange**.

5Development of Rural Areas

SSI can be easily started in rural areas.

They help in:

- ✓ reducing migration to cities
- ✓ balancing regional development
- ✓ improving rural income

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6. Use of Local Resources

SSI use:

- ✓ local raw materials
- ✓ local labour
- ✓ local skills

This reduces transportation cost and increases efficiency.

7. Encourages Entrepreneurship

SSI help common people become entrepreneurs.

This builds a culture of:

- ✓ innovation
- ✓ risk-taking
- ✓ self-employment

8. Low Capital Requirement

SSI need small investment.

This allows more people to start businesses and grow the economy.

9. Support to Large Industries

SSI supply:

- ✓ spare parts
- ✓ components
- ✓ tools
- ✓ packing materials

📌 These are **ancillary industries** that support large factories.

10. Improves Standard of Living

SSI produce affordable products for daily use.

This helps people live better lives.



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❋ Characteristics of Small-Scale Industries :

1Low Investment
SSI require small capital to start and operate.

2Simple Technology
They use basic machines and simple production methods.

3Labour Intensive
More workers and fewer machines are used.

4Use of Local Resources
SSI depend on local raw materials, local labour, and local skills.

5Easy to Start
They need less paperwork and less formalities compared to large industries.

6Small Production Capacity
Goods are produced in small quantity.

7Flexible Operations
They can easily change products or processes based on demand.

10. Creates Employment
They provide jobs especially in rural and semi-urban areas.



❖ Difference between Small Scale & Large Scale Industry :

Point	**Small-Scale Industry (SSI)**	**Large-Scale Industry (LSI)**
1. Investment	Low investment	Very high investment
2. Technology	Simple machines	Advanced technology & heavy machines
3. Employment	Labour-intensive (more workers)	Capital-intensive (more machines)
4. Production	Small quantity	Large quantity, mass production
5. Ownership	Owned by individuals/small groups	Owned by companies/corporations
6. Raw Materials	Local raw materials	Raw materials from many sources
7. Market	Local or regional market	National and international markets
8. Flexibility	Flexible, easy to change products	Less flexible due to large setup
9. Setup Time	Easy and quick to start	Requires long time to establish
10. Examples	Bakery, handloom, small workshops	Steel plants, automobile factories

❖ **What is Subcontrol (Subcontracting)?**

Subcontrol (or Subcontracting) means a **large company gives some part of its work to a sma scale industry**.

👉 **Simple words:**

A big company cannot do everything itself → so it gives small tasks to small industries.

Examples:

A car company gives seat-making work to a small unit.

A TV company gives circuit board work to a small workshop.

❋ **Types of Ancillary Industries under Subcontrol(V.VIMP)**

Ancillary industries = small industries that **support big industries** by supplying parts, components or services.

There are two main types:

1. Demand based Ancillary Industries
2. Resources based Ancillary industrties

1. Demand-Based Ancillary Industries

These industries are created **because a large industry has high demand** for some particular parts, materials, or services.

👉 **In simple words:**

Demand-based = made because a big industry needs something regularly.

🔹 Key Features :

- ✓ Depends on **continuous demand** of big industries
- ✓ Produces **specific components**
- ✓ Works almost like a supplier for the parent company
- ✓ Guaranteed orders from big industry
- ✓ Stable and steady business

🔹 Examples

Small company supplying **nuts & bolts** to Tata Motors
A workshop making **bike parts** for Hero MotoCorp
A company making **mobile chargers** for Samsung
Small unit making **packaging boxes** for a large food company



2. Resource-Based Ancillary Industries

These industries are started because **a particular raw material or natural resource is easily available in that area.**

👉 **In simple words:**

Resource-based = based on local natural resources.

Key Features :

- ✓ Started near where resources are available
- ✓ Low transportation cost
- ✓ Best use of local resources
- ✓ Creates job opportunities in rural areas
- ✓ Dependent on nature/availability of raw materials

Examples

- ✓ Rice mills near paddy-growing areas
- ✓ Cotton ginning units near cotton fields
- ✓ Sugar mills near sugarcane farms
- ✓ Oil mills where sunflower/groundnut is plenty
- ✓ Saw mills near forests
- ✓ Coir industry near coconut plantations



❋ Government Policies for Small-Scale Industries : (V.IMP)

Government policies for SSI are **rules, support programs, and schemes** created by the government to **help small industries grow**, reduce their problems, and encourage more people to start small businesses.

☞ **Simple words:**

Government policy = support and help given by government to small industries.

❋ 1. Financial Assistance Policy

Government provides **easy loans** and **low-interest loans** through:

✓ Banks
✓ Cooperative societies
✓ SIDBI
✓ MSME loan schemes

☞ Helps SSI get money to start or expand business.

✳ 2. Subsidy Policy

Government gives **subsidies** (financial help) for:

- ✓ buying machinery
- ✓ installing equipment
- ✓ using new technology
- ✓ electricity or power consumption

☞ Reduces the total cost for small industries.

✳ 3. Tax Exemption Policy

SSI get:

- ✓ lower taxes
- ✓ tax holidays
- ✓ special exemptions

☞ This reduces financial burden and encourages new units.

✳ 4. Training and Skill Development Policy

Government runs **Entrepreneurship Development Programmes (EDP)** to train people in:

- ✓ business skills
- ✓ marketing
- ✓ finance
- ✓ management
- ✓ technical skills

☞ This prepares people to become good entrepreneurs.



✳ 5. Industrial Estate Policy

Government creates **Industrial Estates** where SSI get:

- ✓ land
- ✓ sheds
- ✓ water
- ✓ electricity
- ✓ facilities at low cost

☞ Helps small businesses reduce setup cost.

✳ 6. Reservation Policy

Certain products are **reserved only for small industries**, so that big companies cannot manufacture them.

Example: Handicrafts, traditional goods, simple consumer goods.

☞ Ensures small industries get a steady market.

❋ 7. Marketing Assistance Policy

Government helps SSI in marketing by:

- ✓ organizing fairs and exhibitions
- ✓ providing marketing centers
- ✓ giving digital marketing support
- ✓ promoting export

☞ Helps SSI sell their products easily.

❋ 8. Technology Upgradation Policy

Government helps SSI modernize by:

- ✓ providing grants for new machines
- ✓ encouraging digital tools
- ✓ supporting modern production methods

☞ Helps SSI compete with big industries.

❋ 9. Export Promotion Policy

Government supports SSI to export goods through:

- ✓ export subsidies
- ✓ export finance
- ✓ duty-free import of raw materials

☞ Helps SSI enter international markets.

❋ 10. Protection Policy

Government protects SSI by:

- ✓ setting import restrictions
- ✓ giving preference in government purchases
- ✓ reducing competition from foreign companies

☞ Ensures the survival and growth of small units.



❊ Stages in Starting a Small-Scale Industry :

1 Idea Generation

Think of a business idea based on demand, skills, and resources.

2 Project Selection

Choose the best idea that is profitable and possible to start.

3 Market Study

Study the market:

- ✓ Who are the customers?
- ✓ What is the demand?
- ✓ Who are the competitors?

4 Preparing Business Plan

Prepare a project report containing:

- ✓ cost
- ✓ machinery
- ✓ raw material
- ✓ process
- ✓ profit expected

5 Arrangement of Finance

Arrange money from:

- ✓ banks
- ✓ government loans
- ✓ personal savings

6 Selection of Location

Choose a suitable place with:

- ✓ transport
- ✓ electricity
- ✓ availability of labour

7. Registration and Licensing

Register the unit and get necessary licenses from government.

8. Purchase of Machinery

Buy required machines, tools, and equipment.

9. Recruitment of Workers

Hire skilled and unskilled workers for production.

10. Production and Testing

Start production, test quality, and improve the product.

11. Marketing

Sell the product through wholesalers, retailers, online, or direct sales.

❊ **Types of Entrepreneurs 1**

Innovative Entrepreneur

Creates new ideas, products, or methods.

Example: inventors, technology creators. **2**

Imitative (Adoptive) Entrepreneur

Copies or adopts successful ideas from others.

Example: starting a business similar to an existing one.

3Fabian Entrepreneur

Very cautious and hesitant.

Starts only when the situation is safe or necessary.

4Drone Entrepreneur

Does not change old methods even if business is losing.

Rigid and traditional.

5Social Entrepreneur

Works for social welfare, not only for profit.

8Technocrat Entrepreneur

Persons with technical background (engineers/scientists) starting technical businesses.

